

NOTE

Finality under the Washington and New York Conventions: Another Swing of the Pendulum?

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Abstract—Finality of awards is often cited as one of the chief virtues of arbitration. The ICSID annulment procedure, requiring substantial deference to an arbitration tribunal's judgments, was designed in part with this objective in mind. Yet commentators have identified relatively recent historical periods during which ICSID annulment committees have demonstrated more of an inclination to annul awards than comparable domestic courts being asked to review and enforce non-ICSID investor-state awards under the New York Convention. More recent decisions by ICSID annulment committees and domestic courts in popular arbitral jurisdictions, however, suggest that the trend may be reversing again, with domestic courts undertaking more searching review of an arbitration tribunal's substantive analyses while ICSID committees have exhibited deference even in cases where the committees have concluded the arbitration tribunals had erred. As a result, parties with a choice of ICSID or non-ICSID fora and a preference for finality over the opportunity for further judicial review may once again conclude that ICSID is a preferable venue.

I. INTRODUCTION

In investor–State arbitrations, do International Centre for the Settlement of Investment Disputes (ICSID) awards stand a better chance of being upheld than non-ICSID awards? The answer has often depended on when the question is asked. For some time, conventional wisdom has had it that a party who wins an ICSID award is more likely to see that victory extinguished in annulment proceedings than a party who prevails in a non-ICSID arbitration seated in a jurisdiction, such as France, the Netherlands or the United Kingdom (UK), that is ‘friendly’ towards arbitration. But that may be changing.

Christoph Schreuer has famously described ‘three generations’ of ICSID annulment decisions, ranging from the ‘hair trigger’ approach to annulment in the mid-1980s, to the extreme caution of the early 1990s, to the often more

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balanced approach of the 2000s.³ By the end of the latter decade, however, commentators were voicing doubts about whether the risk of annulment was so much greater in ICSID proceedings than in domestic court proceedings under the New York Convention that investors might not be better off choosing non-ICSID fora for disputes with states, even where ICSID was available.⁴ Indeed, one observer found that by the end of 2007, 40 percent of ICSID annulment applications had been wholly or partially successful, compared to 6 percent of applications to national courts to set aside investment treaty awards.⁵ This statistical disparity, it was surmised, coincided with a difference in ‘mindsets,’ according to which national judges in ‘commercial arbitration hubs’ displayed a ‘judicial culture of sensitivity to and respect for the finality of arbitral awards’ and ‘considerable deference to the expertise of tribunals’, while members of annulment committees, often prominent international lawyers, were more likely to engage in a ‘microscopic dissection’ of awards.⁶

This chorus reached a crescendo after the summer of 2010, when three ICSID annulment committees—in *Sempra Energy International v Argentina*, *Enron Corporation and others Argentina* and *Helman International Hotels v Egypt*—annulled awards in a manner that critics saw as more appropriate to an appeal than to the limited review contemplated in ICSID Convention Article 52.⁷ Some spoke of a ‘fourth generation’ of annulment decisions heralding a lower standard of review in ICSID annulment proceedings.⁸ No less an authority than Schreuer himself declared shortly thereafter that ‘any [ICSID] award, no matter how well drafted, is threatened by annulment’ and, indeed, that ‘[i]t has become considerably easier to overturn an ICSID award in annulment proceedings than to have a non-ICSID award set aside by a domestic court’.⁹

Recent developments on both sides, however, suggest that the pendulum may be swinging back in ICSID’s direction. On the one hand, courts in several traditionally ‘pro-arbitration’ jurisdictions—France, the Netherlands, Sweden

³ See generally Christoph Schreuer, ‘Three Generations of ICSID Annulment Proceedings’, in Emmanuel Gaillard and Yas Banifatemi (eds), *IAI Series on International Arbitration No 1, Annulment of ICSID Awards 17* (Juris Publishing 2004).

⁴ See, eg, Yas Banifatemi, ‘Defending Investment Treaty Awards: Is There an ICSID Advantage?’ in Albert Jan van den Berg (ed), *50 Years of The New York Convention*, ICCA Congress Series No 14 (Kluwer 2009) 318, 326: ‘If one considers the annulment procedure under Art. 52, the incentive in favor of ICSID arbitration may appear not as strong, given the multiplication of annulment proceedings in recent years, the relatively high proportion of annulled awards and the discrepancy in the standards of review adopted by the ad hoc committees.’ Convention on Recognition and Enforcement of Foreign Arbitral Awards (opened for signature 10 June 1958, entered into force 7 June 1959).

⁵ Gaëtan Verhoosel, ‘Annulment and Enforcement Review of Treaty Awards: To ICSID or Not to ICSID?’, in van den Berg (n 4) 287.

⁶ *ibid* 306. To be sure, Verhoosel found that there was ‘no straight answer to the question whether a prospective claimant is better off enforcement-wise with ICSID or other rules’ (317).

⁷ See generally Christoph Schreuer, ‘From ICSID Annulment to Appeal: Half Way Down the Slippery Slope’ (2011) 10(2) *L & Practice of Intl Courts & Tribunals* 211. *Sempra Energy International v Argentine Republic*, ICSID Case No ARB/02/16, Decision on the Argentine Republic’s Application for Annulment Award (29 June 2010); *Enron Corporation and Ponderosa Assets, LP v Argentine Republic*, ICSID Case No ARB/01/3, Decision on the Application for Annulment of the Argentine Republic (30 July 2010); *Helman International Hotels A/S v Arab Republic of Egypt*, ICSID Case No ARB/05/19, Decision on Annulment (14 June 2010). Convention on the Settlement of Investment Disputes between States and Nationals of Other States (opened for signature 18 March 1965, entered into force 14 October 1966) (ICSID Convention).

⁸ Promod Nair and Claudia Ludwig, ‘ICSID Annulment Awards: The Fourth Generation?’ (*Lexology*, 18 February 2011) <<http://www.lexology.com/library/detail.aspx?g=7218cb56-7a64-426f-8cc0-8475303444e6>> accessed 17 April 2017. See also Steven Smith and Kevin Rubino, ‘Investors Beware: Enron and Sempra Annulment Decisions Bolster the State Necessity Defense While Sowing New Uncertainty Regarding the Finality of ICSID Arbitral Awards’ (*Mondaq*, 11 August 2010) <<http://www.mondaq.com/unitedstates/x/107480/>> accessed 17 April 2017.

⁹ Schreuer (n 7) 13–14.

and the UK—have set aside arbitral awards in non-ICSID investor–State disputes on the grounds that some cases feature *de novo* review of decisions within the clear competence of arbitrators, including some that turned on questions of public international law in which the arbitrators were particularly qualified. One of those decisions, *Yukos Universal v Russian Federation*, overturned a US \$50 billion Award that was the product of nearly 10 years of proceedings that cost the Claimants over US \$80 million in fees and expenses.¹⁰ In other cases, courts have upheld investor–State arbitral decisions only after conducting a *de novo* review of the tribunals’ jurisdictional analysis or asserting their power to do so.

At the same time, the perceived torrent of ICSID annulments seems to be abating. An April 2016 ICSID report observes that the percentage of total awards annulled declined from 8 percent for 2001–10 to 3 percent for 2011–16.¹¹ Of annulment proceedings launched during those periods, the percentage of successful annulments declined from 30 percent to 7.5 percent.¹² Annulment committees in recent decisions have consistently reiterated the point that annulment is not appeal, and they seem to have applied Article 52 of the ICSID Convention with that principle in mind.¹³ Given these apparent disparate trends, reconsideration of the relative benefits of finality in ICSID versus non-ICSID arbitration may be in order.

II. REVIEW OF TRIBUNALS’ JURISDICTION

A striking disparity between the two enforcement systems, and the one giving rise to some of the most dramatic set-aside decisions under domestic law (as permitted by the New York Convention), concerns review of the tribunal’s jurisdiction. It is a primary axiom that a tribunal’s competence derives from the agreement of the parties, and one of the most basic grounds for challenging arbitral awards has been the claim that the dispute was outside the scope of an applicable arbitration agreement and, therefore, that the tribunal lacked jurisdiction over the dispute. Both the New York Convention [Article V(1)(a) and (c)] and the ICSID Convention (Article 52(1)(b)) provide for non-recognition and annulment, respectively, on this basis.

But a crucial difference is the degree of deference accorded to the tribunal’s finding on this question. National courts reviewing arbitral awards, including those involving investment treaties and international law, tend to apply a *de novo* standard of review to the issue and have proven ready to nullify awards when their view differs from that of the arbitrators. By contrast, ICSID annulment committees, at least in recent years, have been more deferential and hesitant to overturn awards on this ground unless clearly warranted.

¹⁰ *Yukos Universal Limited (Isle of Man) v Russian Federation*, UNCITRAL, PCA Case No AA 227, Final Award (18 July 2014); set aside in *Russian Federation v Veteran Petroleum Limited and others*, Hague District Court, Case Nos C/009/477160/HA ZA 15-1, 15-2, 15-112 (20 April 2016).

¹¹ See ICSID ‘Updated Background Paper on Annulment for the Administrative Council of ICSID’ (5 May 2016) 11 <<https://icsid.worldbank.org/apps/ICSIDWEB/resources/Documents/Background%20Paper%20on%20Annulment%20April%202016%20ENG.pdf>> accessed 17 April 2017.

¹² *ibid.*

¹³ See eg *Occidental Petroleum Corporation and Occidental Exploration and Production Company v Republic of Ecuador*, ICSID Case No ARB/06/11, Decision on Annulment of the Award (2 November 2015) paras 55–6, 66, 452 (warning against ‘transforming [annulment] into an appeal mechanism with respect to the merits,’ noting that annulment committees ‘do not have the power to review the adequacy of the reasons set forth by the tribunal in its award,’ and criticizing a respondent’s argument as a ‘rank appeal of the Tribunal’s merits findings’).

A. New York Convention Cases

Article V(1)(a) of the New York Convention allows courts to refuse enforcement of an award if the parties' arbitration agreement is invalid under the applicable *lex arbitri*, while Article V(1)(c) permits refusal if the award 'deals with a difference not contemplated by or not falling within the terms of the submission to arbitration' or 'contains decisions on matters beyond the scope of the submission to arbitration'. National law and court decisions in many jurisdictions provide that when deciding whether to set aside an arbitral award, a court may ordinarily review *de novo* the question of jurisdiction or 'arbitrability'.¹⁴ This is true even when the arbitration agreement consists in a treaty such as a bilateral investment treaty (BIT).¹⁵

Five of the recent domestic decisions in investment treaty cases—*Yukos v Russian Federation*, *Energoallians v Moldova*, *Chevron Corporation v Ecuador*, *Renta 4 v Russian Federation*, and *BG Group v Argentina*—turned on this very issue.¹⁶ All involved non-ICSID arbitrations under the United Nations Commission on International Trade Law (UNCITRAL) rules and subject to the New York Convention. *Yukos* and *Chevron* were administered by the Permanent Court of Arbitration in the Hague, *Renta* was a Stockholm Chamber of Commerce arbitration seated in Stockholm and *Energoallians* and *BG* were *ad hoc* proceedings respectively seated in Paris and Washington, DC. *Yukos*, *Energoallians* and *Renta* resulted in awards for the claimants that were annulled by national courts at the seats—respectively, the District Court of the Hague and the Paris Court of Appeal. The *Chevron* Award was upheld, but only after plenary review of the jurisdictional issue. And the *BG* Award was upheld under a deferential standard, but in a decision that confirmed that the *de novo* review of jurisdictional questions was the norm.

(i) Netherlands

In *Yukos*, Russia argued, before both the Tribunal and the Hague Court, that it had not consented to arbitration because it had not ratified the instrument purportedly containing its agreement to arbitrate: the Energy Charter Treaty

¹⁴ See eg *Fondation Albert Abela Family Foundation and others v Fondation Joseph Abela Family Foundation*, Cour de Cassation, First Civil Chamber, Case No 08-20,563 (6 October 2010) (France); *Dallah Real Estate and Tourism Holding Company v The Ministry of Religious Affairs, Government of Pakistan* [2010] UKSC 46 (United Kingdom); *PJSK Ukrnafta v Carpatsky Petroleum Corporation*, Svea Court of Appeal, Case No T 10470-10 (26 March 2015) (Sweden); *AQZ v ARA* [2015] SGHC 49 (Singapore).

¹⁵ See *Occidental Exploration and Production Company v Ecuador*, Judgment [2005] EWHC 774 (Comm), IIC 279 (2005) para 83 (stating that a respondent state challenging a non-ICSID award issued under an investment treaty could seek set aside under s 103 of the UK Arbitration Act 1996 for 'excess of jurisdiction,' and the court would be entitled to 'consider the BIT to decide the scope of the arbitration agreement and whether the award was within its terms'); *Republic of Ecuador v Occidental Exploration and Production Company* [2005] EWCA Civ 1116, [2006] QB 432, para 55 (affirming High Court's decision and accepting that 'the consensual arbitration intended under [a bilateral investment treaty (BIT)] carries with it the usual procedural and supervisory remedies provided under English law as the relevant procedural law').

¹⁶ Each of these decisions, other than *Renta 4*, were set-aside decisions under the domestic laws of the respective seats. The relevant *Renta 4* judgment resulted from a declaratory proceeding under art 2 of the Swedish Arbitration Act, which was separate from the set-aside proceeding also filed in Sweden. *Yukos* (n 10); *Energoallians TOB v Republic of Moldova*, UNCITRAL, Paris Court of Appeal Set-Aside Ruling (12 April 2016); *Chevron Corporation and Texaco Petroleum Corporation v Republic of Ecuador*, UNCITRAL, PCA Case No 2009-23, set aside in *Republic of Ecuador v Chevron Corporation*, Hague District Court, Case No C/09/477457/HA ZA 14-1291, Judgment (20 January 2016); *Renta 4 SVSA Ahorro Corporación Emergentes FI, Ahorra Corporación Europfondo FI, Rovime Inversiones SICAV SA, Quasar de Valores SICAV SA, Orgor de Valores SICAV SA, GBI 9000 SICAV SA v Russian Federation*, SCC Case No 24/2007, Award on Preliminary Objections (20 March 2009); *BG Group Plc v Republic of Argentina*, UNCITRAL, set aside in *BG Group PLC v Republic of Argentina*, 34 SCt 1198, 12-06-1213, 572 US — (2014).

(ECT).¹⁷ More specifically, Russia argued that because Article 45 of the ECT only required it to apply the Treaty provisionally to the extent it was consistent with Russia's constitution and laws, and Russian law required ratification by the Russian Parliament as to the Treaty's dispute settlement provisions (which had not occurred), Russia was not provisionally bound by those provisions.

Following extensive briefing, the submission of some 20 expert opinions, and 10 days of hearings, the Tribunal, composed of three renowned public international lawyers with deep experience in investment treaty arbitration, including a former president of the International Court of Justice, disagreed. Interpreting the ECT text in accordance with the Vienna Convention, other international legal principles, the various opinions by experts on international and Russian law and evidence of state practice, it found that the entire ECT, including its dispute settlement provisions, applied provisionally to Russia and, thus, that the Tribunal had jurisdiction.¹⁸

The Hague Court, addressing the very same question, reached the opposite conclusion.¹⁹ Of particular importance are the standard of review that the Hague Court applied and the party on whom it placed the burden of proof. Under Dutch law, it held, review of the issue of whether the parties had agreed to arbitration and, thus, whether the Tribunal had jurisdiction was 'not restrictive'—that is, it was effectively plenary or *de novo* review.²⁰ In addition, the Court found that it was the Claimants—the Yukos investors—who had the burden of proof on the issue, even though the Tribunal had ruled in their favour.²¹ Because the Court found that the Yukos Claimants had not met that burden, it held that the Tribunal lacked jurisdiction and its Award had to be set aside.

In *Chevron*, the same Hague Court, while ultimately declining to set aside the Tribunal's Award for Chevron, similarly applied a *de novo* standard in reviewing whether the Tribunal had jurisdiction under a relevant investment treaty. In that case—a Permanent Court of Arbitration (PCA)-administered UNCITRAL arbitration that concerned a lengthy and complex dispute between Chevron and Ecuador over liability for environmental damage—Ecuador argued that the Tribunal lacked jurisdiction *ratione materiae* under a US–Ecuador investment treaty because the claims did not concern a covered 'investment'.²² The tribunal, after reviewing the treaty language, the elaborate factual record, and the decisions of various prior tribunals considering similar issues, disagreed and found that it had jurisdiction over at least some of the claims.²³

This time, on Ecuador's application to set aside the Award, the Hague District Court agreed with the Tribunal's conclusion as to jurisdiction. But, as in *Yukos*, the Court gave essentially no deference to the Tribunal's analysis. Instead, once again, the Court found that where a party challenging an award claims that there

¹⁷ Energy Charter Treaty (opened for signature 17 December 1994, entered into force 16 April 1998) (ECT).

¹⁸ *Yukos Universal Limited (Isle of Man) v Russian Federation*, UNCITRAL, PCA Case No AA 227, Interim Award on Jurisdiction and Admissibility (30 November 2009) paras 301–98. Vienna Convention on the Law of Treaties (opened for signature 23 May 1969, entered into force 27 January 1980) 1155 UNTS 331 (VCLT).

¹⁹ See *Russian Federation v Veteran Petroleum Limited and others*, Hague District Court, Case Nos C/09/477160/HA ZA 15-1, 15-2, 15-112 (20 April 2016) paras 5.9–5.96.

²⁰ See *ibid* para 5.4.

²¹ *ibid* (unofficial translation) <<http://uitspraken.rechtspraak.nl/inziendocument?id=ECLI:NL:RBDHA:2016:4230>> accessed 17 April 2017.

²² *Chevron* (n 17) Third Interim Award on Jurisdiction and Admissibility (27 February 2012) para 4.12.

²³ *ibid* paras 4.13–4.24.

was no valid arbitration agreement, the reviewing court ‘is not obliged to exercise restraint’ in considering the issue.²⁴ Indeed, the Court found that such *de novo* review was particularly appropriate in an investment treaty dispute because the jurisdictional issue ‘affects the sovereignty of the relevant state’ and the question of whether such sovereignty had been waived through the treaty was of a ‘fundamental nature’, such that the court was entitled to analyse it ‘in full’ to the same extent as the arbitrators.²⁵

(ii) *France*

Energoallians demonstrated the similar approach of the French courts. This case turned on a jurisdictional issue similar to that in *Chevron*—whether the Claimant had made an ‘investment’ for the purposes of the ECT and, thus, whether its claim fell within the scope of the Treaty and Moldova’s agreement to arbitration extended therein. At issue in the case was the Moldovan government’s failure to make payment on the accumulated debts of a state-owned electricity company. Moldova argued before the Tribunal and the Paris Court that such commercial debts did not constitute an ‘investment’ protected under the ECT and, thus, that the Tribunal lacked jurisdiction *ratione materiae*. As in *Chevron*, the Tribunal disagreed.

However, as in *Yukos*, the Paris Court ruled for the Respondent, finding that the Tribunal had lacked jurisdiction. Noting that under French law, a judge reviewing a challenge to an arbitration jurisdiction must consider ‘all elements of law and of fact to assess the scope of the arbitration agreement’, the *Energoallians* Court conducted a searching review of the text, as well as the object and purpose of the ECT, finding that an ‘investment’ for the purposes of the Treaty required a valuable contribution to an economic entity within the host State.²⁶ Notably, the Court’s conclusion differed not only from that of the Tribunal whose Award it was reviewing but also from the finding of an earlier Tribunal in *Petrobart v Kyrgyz Republic*, which had found that debt claims arising from a long-term gas sale contract are protected investments under the ECT.²⁷

(iii) *Sweden*

Renta was another *Yukos*-related case, this one involving claims by a group of Spanish investment companies against Russia under the Spain–Russia BIT.²⁸ Russia’s primary jurisdictional objection was that the BIT’s dispute settlement clause explicitly permitted arbitration only as to ‘the amount or method of payment of compensation’ for expropriation and not as to the question of whether expropriation (or other treaty violations) had, in fact, taken place.²⁹ The parties also debated whether the BIT’s most favoured nation (MFN) clause expanded the scope of the claimant’s rights to arbitration, as tribunals have found in certain

²⁴ See *Republic of Ecuador v Chevron Corporation*, Hague District Court, Case No C/09/477457/HA ZA 14-1291, Judgment (20 January 2016) para 4.4.

²⁵ *ibid.*

²⁶ *Energoallians* (n 17) 4–6.

²⁷ *Petrobart Limited v Kyrgyz Republic*, SCC Case No 126/2003, Arbitral Award (29 March 2005) 69–72.

²⁸ Agreement between the Government of the Republic of Spain and the Government of the Russian Federation for the Mutual Promotion and Protection of Investments (signed 26 October 1990, entered into force 28 November 1991) (Spain–Russian Federation BIT).

²⁹ *Renta* (n 17) paras 5, 20–1.

other cases.³⁰ The Tribunal dismissed the objection, finding that it had jurisdiction to determine liability for expropriation, although agreeing with Russia that the MFN clause did not expand its jurisdiction.³¹

Russia then initiated proceedings in Sweden, focusing primarily on those same jurisdictional objections. The Stockholm District Court, applying the ‘doctrine of assertion’ under Swedish law, found that the relevant jurisdictional issue (existence of an ‘investment’) should be ‘reviewed only by the arbitral tribunal’ and deferred to the Tribunal’s conclusion.³² The Svea Court of Appeal, however, reversed. It explicitly stated that it was required to conduct its ‘own interpretation’ of the BIT and proceeded to engage in an extensive Vienna Convention analysis of the text, object and purpose of the Treaty.³³ Ultimately, it sided with Russia, agreeing that the BIT did not provide for arbitration of liability for expropriation and rejecting the Claimants’ MFN argument as well.³⁴ In a separate opinion, one of the judges agreed with another of Russia’s jurisdictional objections—namely, that the Claimants had not identified an ‘investment’ covered by the BIT.³⁵

(iv) *United States*

The United States has seen fewer original set-aside actions, largely because relatively few non-ICSID investor–State arbitrations have been seated there. The most publicized such case—*BG Group*—resulted in a decision by the Supreme Court of the United States upholding a tribunal’s decision, but again confirming that review of arbitrators’ jurisdictional decisions is *de novo*. *BG* concerned claims by a British energy company that Argentina had violated a UK–Argentina BIT by changing its laws governing the calculation of tariffs on natural gas distribution.³⁶ Among Argentina’s arguments was that the Claimant had failed to first pursue local remedies in the Argentine courts, as required by the BIT, and, thus, the Tribunal lacked jurisdiction. The Tribunal rejected this argument, finding that it would have been ‘absurd and unreasonable’ to enforce the local remedies requirement under the exigent circumstances of the case, and ultimately found Argentina liable.

Argentina then filed a petition in a Washington, D.C., Federal Court, seeking to vacate or modify the Award. Its lead argument was, again, that the Tribunal had lacked jurisdiction because of the Claimant’s failure to exhaust local remedies. The District Court denied this petition, but the Court of Appeals for the District of Columbia Circuit reversed. According to the Court of Appeals, the local remedies requirement was a condition of Argentina’s agreement to arbitrate, and, thus, it

³⁰ See eg *Emilio Augustin Mafezzini v Kingdom of Spain*, ICSID Case No ARB/97/7, Decision of the Tribunal on Objections to Jurisdiction (25 January 2000); *Siemens AG v Argentine Republic*, ICSID Case ARB/02/8, Decision on Jurisdiction (3 August 2004); *Gas Natural SDG, SA v Argentine Republic*, ICSID Case No ARB/03/10, Decision of the Tribunal on Preliminary Questions on Jurisdiction (17 June 2005); *Impregilo SpA v Argentine Republic*, ICSID Case No ARB/07/17, Award (21 June 2011).

³¹ *Renta* (n 17) paras 19–67.

³² *Russian Federation v GBI 9000 SICAV SA and others* Stockholm District Court, Case No T 15045–09, Judgment (11 September 2014) 28.

³³ *GBI 9000 SICAV SA, and others v Russian Federation*, Svea Court of Appeal, Case No T 9128–14, Judgment (18 January 2016) 4–7 (unofficial translation) <<http://www.arbitration.sccinstitute.com/Views/Pages/GetFile.aspx?portalId=89&cat=95791&docId=2629145&propId=1578>> accessed 17 April 2017.

³⁴ *ibid* 2, 7–10.

³⁵ *ibid* 12–13.

³⁶ Agreement between the Government of the United Kingdom of Great Britain and Northern Ireland and the Government of the Republic of Argentina for the Promotion and Protection of Investments (signed 11 December 1990, entered into force 19 February 1993) (UK–Argentina BIT).

was a jurisdictional (or ‘arbitrability’) issue.³⁷ As such, the appellate Court found, it was subject to *de novo* court review under established US law unless there was ‘clear and unmistakable’ evidence that the parties intended the arbitrators to have the final word on arbitrability, which there was not.³⁸ Applying such review, the appellate Court found that the failure to abide by the local remedies requirement deprived the Tribunal of jurisdiction.³⁹

The Supreme Court reached a different conclusion, but confirmed the basic standard of review on jurisdictional issues. It agreed that under general US arbitration law, court review of arbitrability questions, including those in investor-state disputes that turn on treaty interpretation, was ordinarily *de novo*.⁴⁰ But it found that the local remedies issue was a mere procedural ‘claims-processing rule,’ rather than a matter of arbitrability or jurisdiction, and, thus, courts were required to defer to the arbitrators’ decision on the issue.⁴¹ Under this analysis, a US court, considering the types of jurisdictional challenges raised in *Yukos*, *Chevron*, *Energoallians* and *Renta*, would presumably take the same approach as the various courts in those cases, engaging in plenary review of the same legal and factual issues already addressed by the arbitrators.⁴²

B. ICSID Cases

Contrast the strict scrutiny of the courts in *Yukos*, *Energoallians* and *Chevron* with the substantial deference extended in theory, and usually in practice, by ICSID annulment committees to tribunals’ determinations of their own competence. That the relevant language of ICSID Convention Article 52(1)(B)—requiring a ‘manifest’ excess of powers for annulment—suggests such deference is clear enough. That annulment committees have interpreted this term as permitting annulment on this ground only when lack of jurisdiction is ‘self-evident’ or ‘plain on its face,’ and not subject to serious dispute, is widely recognized.⁴³ As one Committee put it, ‘[a]n *ad hoc* committee will not therefore annul an award if the tribunal’s disposition on a question of law is tenable, even if the committee considers that it is incorrect as a matter of law’.⁴⁴

And recent annulment committees’ decisions have generally matched these standards. For example, in *Total v Argentina*, the Claimant Total alleged that a series of measures by the Argentine government had harmed its energy sector investments in violation of the France–Argentina BIT and initiated ICSID arbitration.⁴⁵ Argentine raised various jurisdictional objections, including an

³⁷ *Argentina v BG Group PLC*, 665 F3d 1363, 1369 (DC Cir 2012).

³⁸ *ibid.*

³⁹ *ibid* 1369–73.

⁴⁰ *BG Group PLC v Republic of Argentina*, 34 SCt 1198, 1206–1213, 572 US ____ (2014).

⁴¹ *ibid* 1207–1212.

⁴² However, the US Court of Appeals for the Second Circuit has held that if an investment treaty or other arbitration agreement specifies that questions of arbitrability or jurisdiction are to be resolved by arbitrators or incorporates arbitration rules (such as the UNCITRAL Arbitration Rules [2006]) that so specify, courts should defer to arbitrators’ findings regarding jurisdiction. See *Schneider v Kingdom of Thailand*, 688 F3d 68, 72–4 (2d Cir 2012) [citing *Republic of Ecuador v Chevron Corp*, 638 F3d 384, 394 (2d Cir 2011)].

⁴³ See eg *Libenanco Holding Co Limited v Republic of Turkey*, ICSID Case No ARB/06/08, Excerpts of Decision on Annulment (22 May 2013) para 82 (internal citation omitted).

⁴⁴ *Duke Energy International Peru Investments No 1 Ltd v Republic of Peru*, ICSID Case No ARB/03/28, Decision on Annulment (1 March 2011) para 99.

⁴⁵ *Total SA v Argentine Republic*, ICSID Case No ARB/04/01, Decision on Annulment (1 February 2016). Agreement between the Government of the Republic of France and the Government of the Republic of Argentina for

argument that under international and Argentine law, Total was not permitted to submit a claim alleging a breach of the rights of other companies—specifically, the subsidiaries harmed by Argentina’s actions. These objections were rejected, and Total eventually obtained an Award against Argentina, which sought annulment.

Regarding the Tribunal’s decision on jurisdiction, the Annulment Committee observed that ‘an *ad hoc* committee cannot generally review *de novo* the decision of the tribunal on jurisdiction’.⁴⁶ Even more to the point, the committee stated that in reviewing a tribunal’s jurisdiction, ‘an *ad hoc* committee under the ICSID Convention cannot annul an award on the ground that its understanding of the facts, or interpretation of the law, or appreciation of evidence is different from that of the tribunal. If it does, it will cross the line that separates annulment from appeal’.⁴⁷ As to Argentina’s argument that the Tribunal had lacked jurisdiction because the applicable law did not allow for the sort of indirect or derivative claims Total had brought, the Committee observed that Argentina ‘simply disagree[d] with the decision of the Tribunal’ and ‘ask[ed] the Committee to revisit the issue’, which ‘would entail a *de novo* review by this Committee, which is not permitted under the ICSID Convention’.⁴⁸ After describing the Tribunal’s analysis of the issue, and without providing its own view, the annulment committee determined there was no ‘manifest’ excess of power and thus rejected the challenge.⁴⁹

In *Impregilo v Argentina*, the jurisdictional question concerned whether a MFN clause in the Italy–Argentina BIT permitted the Claimant to avoid a local remedies requirement; roughly speaking, an amalgamation of issues raised in *Renta* and *BG*.⁵⁰ The Tribunal split on this issue, with the majority agreeing that it had jurisdiction based on the MFN clause, but one arbitrator dissenting.⁵¹ On annulment, despite the arbitrators’ disagreement on the issue, and while noting the deep split among prior tribunals on the issue, the Annulment Committee demurred, expressly declining to ‘review in detail and *de novo* the complex issues involved in the jurisdictional debate in this case’.⁵² Indeed, the Committee found it ‘clear’ that it had ‘no authority to determine’ whether the Tribunal had acted correctly in its application of the MFN clause to find jurisdiction.⁵³ Query, then, whether the *Yukos* and *Energoallians* awards would have been upheld, and, thus, broadly enforceable, had the arbitrations proceeded before ICSID.⁵⁴

the Mutual Promotion and Protection of Investments (signed 3 July 1991, entered into force 3 March 1993) (France–Argentina BIT).

⁴⁶ *Total SA* (n 46) para 242. Agreement between the Government of the Republic of Italy and the Government of the Republic of Argentina for the Mutual Promotion and Protection of Investments (signed 22 May 1990, entered into force 14 October 1993) (Italy–Argentina BIT).

⁴⁷ *Total SA* (n 46) paras 175–176.

⁴⁸ *ibid* para 250.

⁴⁹ *ibid* paras 248–50.

⁵⁰ *Impregilo* (n 31).

⁵¹ *ibid* paras 79–109; *ibid*, Concurring and Dissenting Opinion of Professor Brigitte Stern (21 June 2011).

⁵² *ibid*, Decision on Annulment (24 January 2014) paras 134–41.

⁵³ *ibid* para 141.

⁵⁴ The *Yukos* and *Renta* claimants were unable to choose ICSID arbitration, as Russia is not a member of the ICSID Convention.

III. TRIBUNALS' *SUA SPONTE* ANALYSIS OF THE LAW

Another area in which recent decisions highlight ICSID's potential finality advantage concerns tribunals' ability to apply the principle of *iura novit curia*, reaching a decision based on legal or factual analysis that was not raised or argued by the parties. The principle, whose name derives from the civil law tradition but which has featured in some common law jurisdictions as well,⁵⁵ has been incorporated into the rules of certain national arbitration legislation⁵⁶ as well as arbitral institutions.⁵⁷ Its premise—that shortcomings in parties' arguments should not force a tribunal to issue a logically flawed award—is sound enough and has been widely embraced by ICSID annulment committees. But some national courts have tended to subordinate it to what they perceive to be a higher virtue—namely, giving the parties the full opportunity to comment on all points that may determine the outcome.

A. *New York Convention Cases*

Consider *Peter De Sutter v Madagascar*. In this case, two Belgian nationals invested in a textile manufacturing company in Madagascar, which suffered damages during civil unrest following a 2009 coup in that country. The company sought and obtained an order from a Madagascar court requiring a Madagascar insurer to reimburse the company for some of the damages. But the Madagascar Attorney General then intervened and took action to suspend the enforceability of the Court's judgment. The Belgian investors then filed a claim for arbitration under the International Chamber of Commerce rules, alleging violation of the Belgium–Madagascar BIT.⁵⁸ The arbitrator agreed that Madagascar had violated the Treaty, but took a slightly different approach to the damages analysis than the investors had suggested. Specifically, while the investors had requested damages equivalent to the amount of the court judgment plus interest from the date it became effective, the arbitrator analysed the interest amount as a component of the 'damage' itself. The Madagascar government filed a successful action in the Paris Court of Appeals to set the Award aside. The Court found that the arbitrator's treatment of the interest amount as part of the 'damages' under the Treaty—as opposed to an amount owed separately from the 'damages'—was based on a theory never raised by the investors or argued by the parties.⁵⁹ This, the Court found, violated the 'principle of contradiction,' an important due process issue that

⁵⁵ See eg *Kamen v Kemper Financial Services*, 500 US 90, 99 (1991): 'When an issue or claim is properly before the court, the court is not limited to the particular legal theories advanced by the parties, but rather retains the independent power to identify and apply the proper construction of governing law.'

⁵⁶ See UK Arbitration Act 1996, art 34(1), (2)(g): 'It shall be for the tribunal to decide all procedural and evidential matters, subject to the right of the parties to agree any matter. Procedural and evidential matters include... whether and to what extent the tribunal should itself take the initiative in ascertaining the facts and the law.'

⁵⁷ See London Court of Arbitration Arbitration Rules (2014) art 22.1(c) (giving tribunals the power 'to conduct such enquiries as may appear to the Arbitral Tribunal to be necessary or expedient, including whether and to what extent the Arbitral Tribunal should itself take the initiative in identifying the issues and ascertaining the relevant facts and the law(s) or rules of law applicable to the arbitration, the merits of the parties' dispute and the Arbitration Agreement.')

⁵⁸ Agreement between the Government of the Republic of Belgium/Luxembourg Economic Union and the Government of the Republic of Madagascar for the Mutual Promotion and Protection of Investments (signed 29 September 2005, entered into force 29 November 2008) (Belgo-Luxembourg–Madagascar BIT).

⁵⁹ *Peter de Sutter, and others v Republic of Madagascar*, Judgment of the Paris Court of Appeals, 15 March 2016 at 5-7.

provides a ground under French law for annulling or refusing to enforce an arbitral award.⁶⁰

The result in *Malicorp v Egypt* was similar.⁶¹ This case involved a dispute between Malicorp, a British company, and the Egyptian government regarding a contract for the design, construction and operation of an airport on the Egyptian coast of the Red Sea. The government (through a state-owned company) terminated the contract based on Malicorp's alleged submission of fraudulent documents and failure to perform its contractual obligations. Malicorp initiated arbitration through the Cairo Regional Centre for International Commercial Arbitration, alleging breach of the contract. In 2006, a Tribunal issued an Award finding Egypt liable and ordered it to pay the company approximately US \$14.8 million. This damages Award was based on the Tribunal's analysis of Article 142 of the Egyptian Civil Code, which allows for damages when a contract is 'void or annulled'; in this case, because of a mutual 'mistake' by both parties in entering into the contract.⁶²

The Egyptian government successfully challenged the Award in Egyptian Court. Nonetheless, Malicorp filed an action in the English Commercial Court, seeking to enforce the Award under the English Arbitration Act 1996.⁶³ The English Court declined enforcement on two grounds. The first was that the Award had been set aside in Egypt, the seat of the arbitration.⁶⁴ The second, similar to the Paris Court's decision in *De Sutter*, was that the Tribunal had grounded its damages analysis on Article 142 of the Egyptian Civil Code, a basis that Malicorp had not pleaded and that the parties had not argued in the arbitration.⁶⁵ In the Court's view, the Tribunal's invocation of Article 142 without the parties' input would have been a 'complete surprise' to the Egyptian government and, thus, was 'manifestly repugnant to elementary principle of fairness' and a 'serious breach of natural justice'.⁶⁶

B. ICSID Cases

ICSID annulment panels have often taken a different view. For example, in *Caratube v Kazakhstan*, Caratube pursued ICSID arbitration against the government of Kazakhstan, alleging that the government had violated a US–Kazakhstan BIT by terminating Caratube's oil exploration contract and freezing its bank accounts.⁶⁷ Kazakhstan argued that ICSID lacked jurisdiction under Article 25 of the ICSID Convention since Caratube was organized as a Kazakh company. Caratube replied that it was majority owned by a US citizen, and, thus, the dispute qualified for ICSID jurisdiction under an exception in Article 25(2)(b) for

⁶⁰ *ibid.*

⁶¹ *Malicorp Limited v Arab Republic of Egypt*, ICSID Case No ARB/08/18, Decision on the Application for Annulment of Malicorp Limited (3 July 2013).

⁶² *Malicorp Ltd v Government of the Arab Republic of Egypt* [2015] EWHC 361 (Comm) (19 February 2015) para 34.

⁶³ Malicorp also unsuccessfully sought enforcement in French courts and pursued an unsuccessful investment treaty claim before an ICSID arbitration tribunal.

⁶⁴ *Malicorp* (n 62) paras 20–8.

⁶⁵ *ibid* paras 35–42.

⁶⁶ *ibid* paras 41–42.

⁶⁷ *Caratube International Oil Company LLP v Republic of Kazakhstan*, ICSID Case No ARB/08/12, Decision on the Annulment Application of Caratube International Oil Company LLP (21 February 2014). Agreement between the United States of America and the Republic of Kazakhstan Concerning the Encouragement and Reciprocal Protection of Investment (signed 19 May 1992, entered into force 12 January 1994) (US–Kazakhstan BIT).

a company ‘controlled’ by a foreign national. In particular, the Tribunal accepted that the US citizen was the formal owner of the majority of Caratube’s shares but found that such formal ownership did not suffice to meet the company’s burden of proof and establish US national control and, thus, jurisdiction.

Caratube sought ICSID annulment, arguing that the Tribunal had committed a ‘serious departure from a fundamental rule of procedure’ under ICSID Convention Article 52(1)(d) because Kazakhstan had never argued before the Tribunal that majority share ownership alone was insufficient proof of control of a company. According to Caratube, by declining jurisdiction on that basis, the Tribunal denied its basic due process right to be heard. The ICSID Annulment Committee disagreed, citing the Tribunal’s ‘right (or even duty) ... to apply the principle of *iura novit curia*’.⁶⁸ Quoting Schreuer, the Annulment Committee noted that prior committees had ‘uniformly rejected the idea that the tribunals in drafting their awards are restricted to the arguments presented by the parties’.⁶⁹ It concluded that, provided they ‘remain within the legal framework established by the parties’—for example, using only contract law concepts in a contract dispute—‘tribunals do not violate the parties’ right to be heard if they ground their decision on legal reasoning not specifically advanced by the parties’.⁷⁰ This would be true even if the specific legal reasoning adopted by the Tribunal came as a ‘surprise’ to the parties.⁷¹

The Annulment Committee in *Tza Yap Shum v Republic of Peru* was even more emphatic on this point.⁷² In this case, the parties had argued before the Tribunal about the proper interpretation of a particular provision in a China–Peru BIT, Peru asserting that under its approach, the Tribunal lacked jurisdiction.⁷³ The Tribunal ultimately disagreed with Peru, but adopted an interpretation of the Treaty provision that neither side had put forward, relying in part on an analysis of another provision of the Treaty that neither party had suggested. On annulment, Peru contended that in applying such a novel interpretation without giving the parties a chance to comment on it, the Tribunal had seriously departed from a fundamental rule of procedure.⁷⁴ The Annulment Committee, however, found that ‘even if the reasons put forward by the Arbitral Tribunal [on those issues] might not have been anticipated,’ and even though ‘the matter could have been handled better’ by the Tribunal, the Tribunal was not prohibited from engaging in *sua sponte* legal analysis and not required to consult with the parties every time it did so.⁷⁵ To hold otherwise, the Committee said, would mean that ‘an arbitrator will never be able to make an award because of the obligation to continuously submit the reasons for the award to the parties for their observations’.⁷⁶

⁶⁸ *ibid* para 91.

⁶⁹ *ibid* para 92.

⁷⁰ *ibid* paras 93–4.

⁷¹ *ibid* paras 95–6.

⁷² *Tza Yap Shum v Republic of Peru*, ICSID Case No ARB/07/6, Decision on Annulment (12 February 2015).

⁷³ Agreement between the Government of the Republic of Peru and the Government of the People’s Republic of China Concerning the Encouragement and Reciprocal Mutual of Investments (signed 9 June 1994, entered into force 1 February 1995, termination 1 March 2010) (Peru–China BIT).

⁷⁴ *Tza Yap Shum* (n 73) paras 60, 121.

⁷⁵ *ibid* paras 129–33.

⁷⁶ *ibid* para 131.

Other ICSID annulment committees, including those in cases cited by the *Caratube* Committee, have reached similar conclusions. In *Vivendi Universal v Argentina*, the Annulment Committee explained that even if the reasoning of the Tribunal ‘came as a surprise to the parties, or at least some of them...this would by no means be unprecedented in judicial decision-making’ and did not constitute a basis for annulment.⁷⁷ This position was quoted explicitly by the Annulment Committees in *Caratube*.⁷⁸ In *Wena Hotels v Egypt*, the Annulment Committee rejected Egypt’s complaint that the Tribunal had awarded compound interest even though the Claimant had not requested it and the parties had not litigated the issue.⁷⁹ And in *Enron*, a Committee annulled an Award because the Tribunal failed to address certain questions regarding the ‘necessity’ defence under international law that the parties had not raised or argued, suggesting that the Tribunal was required to do so.⁸⁰

III. IMPLICATIONS

If nothing else, the above cases provide a counterpoint to the criticism of several years past that ICSID afforded less assurance of finality than other investor–State arbitral fora. Perhaps they signal that ICSID annulment committees took the commentary to heart, while national courts have become increasingly emboldened in reviewing at least certain aspects of awards. Or perhaps they simply serve to highlight the substantive differences between the two regimes that have existed all along. The ICSID Convention’s annulment provisions have not changed since that Treaty was enacted, and the concepts of *de novo* review of jurisdictional issues and *iura novit curia* are hardly novel.

These decisions thus raise issues beyond the scope of this article. Why have national courts and legislatures adopted different standards of review for these particular issues? Does reduced deference to tribunals’ interpretations of treaties’ jurisdictional provisions indicate a jurisdiction’s scepticism of investor–State dispute settlement or at least a desire to monitor it closely? How much room should the ICSID Convention leave for disagreement as to issues of jurisdiction and due process? What factors—economic, political or jurisprudential—may have influenced courts’ and *ad hoc* committees’ increased or decreased scrutiny of arbitrators’ decisions? These are questions worthy of further study.

In any event, the outcomes of *Yukos* and the other cases contain lessons for both investors and the governments who host them. First, when a case features a difficult question of whether a tribunal has jurisdiction, a claimant would typically prefer to have that issue addressed on a plenary basis only one time, while a respondent government would likely want as many opportunities as possible for a

⁷⁷ *Compañía de Aguas del Aconquija SA and Vivendi Universal SA v Argentine Republic*, ICSID Case No ARB/97/3, Decision on Annulment (3 July 2002) para 84: ‘Claimants contend the Tribunal’s decision came unannounced, and that they had no opportunity to present arguments on the decision to dismiss their claim on the merits on grounds related to Article 16(4) of the Concession Contract. It may be true that the particular approach adopted by the Tribunal in attempting to reconcile the various conflicting elements of the case before it came as a surprise to the parties, or at least to some of them. But even if true, this would by no means be unprecedented in judicial decision-making, either international or domestic, and it has nothing to do with the ground for annulment contemplated by Article 52(1)(d) of the ICSID Convention.’

⁷⁸ *Caratube* (n 68) para 96.

⁷⁹ *Wena Hotels Ltd v Arab Republic of Egypt*, ICSID Case No ARB/98/4, Decision (Annulment Proceeding) (5 February 2002) paras 66–70.

⁸⁰ *Enron* (n 7) paras 361–78.

thorough review of a jurisdictional challenge. ICSID arbitration would mean a single *de novo* review, while other types of investor–State arbitration may enable a respondent two or more equally fulsome bites at the jurisdictional apple. The differing standard of review demonstrated in the recent decisions thus suggests this factor would weigh in favour of ICSID arbitration for such investors and against it for host governments.

Second, ICSID arbitration may afford greater procedural flexibility and discretion to arbitrators, while reducing the extent of ‘due process’ to which disputing parties are entitled. This may empower ICSID arbitrators to take appropriate measures to streamline proceedings and avoid unnecessary briefing or other procedural steps. This approach may provide a benefit in terms of efficiency (both time and cost), although it may also mean that a party mainly concerned with predictability and transparency in the arbitral process may prefer a non-ICSID forum.

Caveats, however, abound. A spattering of recent cases, no matter how high their profile, is neither statistically significant nor even enough to announce a definite trend. Moreover, finality is not the only—or even, perhaps, the highest—goal in international dispute resolution. Fairness and correctness are certainly important to parties entering into arbitration proceedings; in some cases, more so than the desire to end litigation promptly. Further, there are other factors distinguishing ICSID from non-ICSID proceedings, such as rules governing confidentiality and the availability of interim relief. But as the claimants in *Yukos and other* recent disputes would likely attest, finality often ranks fairly high on the list of objectives in pursuing arbitration. With this in mind, parties considering foregoing ICSID for arbitration governed by the New York Convention may now have a fair bit more thinking to do, at least until the pendulum swings again.